According to Keynes, interest is purely a monetary phenomenon because the rate of interest is calculated in terms of money. To him, "interest is the reward for parting with liquidity for a specified period of time".

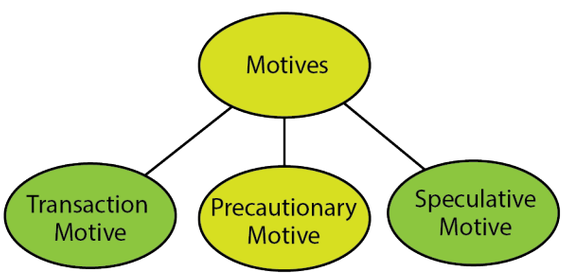
Meaning of Liquidity Preference

Liquidity preference means the preference of the people to hold wealth in the form of liquid cash rather than in other non-liquid assets like bonds, securities, bills of exchange, land, building, gold etc.

> "Liquidity Preference is the preference to have an amount of cash rather than of claims against others".
>
> ***- Meyer***

Motives of Demand for Money

According to Keynes, there are three



motives for liquidity preference. They are:

1. The Transaction Motive

The transaction motive relates to the desire of the people to hold cash for the current transactions (or day–to-day expenses).

The amount saved under this motive depends on the level of income. M_t and Y are positively associated. (Say M_t = 0.125Y; that means if income is ₹ 1000, demand for transaction motive is ₹ 125)

$$M_t = f(y)$$

2. The Precautionary Motive

The precautionary motive relates to the desire of the people to hold cash to meet unexpected or unforeseen expenditures such as sickness, accidents, fire and theft. The amount saved for this motive also depends on the level of income. (Say M_p = 0.125Y; it means if income is ₹ 1000, demand for M_p is ₹ 125)

$$M_p = f(y)$$

3. The Speculative Motive

The speculative motive relates to the desire of the people to hold cash in order to take advantage of market movements regarding the future changes in the price of bonds and securities in the capital market. The amount saved for this motive depends on the rate of interest. Ms = f (i). There is inverse relation between liquidity preference and rate of interest (Say M_s ie 125+125 = 450-100i).

Determination of Rate of Interest

According to Keynes, the rate of interest is determined by the demand for money and the supply of money. The demand for money is liquidity preference. In fact,

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